proposed by Sir Osborne it would mean war. This upset Sir Osborne, so much so that all attempts to get the matter postponed till the next weekly meeting were unsuccessful and the rate was reduced on the 27th to 3 percent.'[43]

Sir Sikander also said, 'The whole affair is most painful and unfortunate… If the present tension unfortunately continues or develops I may have to seriously consider whether it is worthwhile on staying on longer.'[44] But both Grigg and Taylor did not appear to have a very high opinion of Sir Sikander's abilities if the correspondence between them is any indication. On April 29, 1936, Taylor wrote to Grigg that if Sir Sikander 'goes we must get a worker who will pull his weight, not a discard from the political pack waiting for the most opportune moment for re-entry. The Bank is already in danger of becoming a dumping ground for the political has been and never wases, and there is a good deal to be said for replacing the embargo on members of the legislature if we are to continue this farcical system.'[45] In fact Taylor had written to Sir Eyre Gordon, Revenue Member, CP and Berar in April 1936 about a suitable Indian officer who might in due course be suitable for promotion to one of the Deputy Governorships and asked if C.D. Deshmukh would be suitable. Gordon responded that Deshmukh would be suitable in every way but there was little chance of government relieving him.

Smith's Alleged Financial Malfeasance

On December 7, 1935, Taylor wrote to Grigg saying that Stewart was keen that he (Taylor) should keep out of any discussion because his position would become extraordinarily difficult if matters came to a head. He also told Grigg that Smith had not resigned because he was awaiting to 'to see what you will do, and whether you will ask him to resign, and from the correspondence really doubt whether you have a case to take this very drastic step, particularly having regard to its effect on the anti-Government crowd in India, who would be certain to make the most of it.'[46] Taylor told Grigg that he thought that Smith came out meaning to work with him and that what Grigg thought of as double-crossing was not really deliberate. Taylor suggested that it was possible that some broker (probably A.D. Shroff) in Bombay put up the 21/2 percent loan as a reduction of bank rate